

BUSINESS ANALYSIS

EXECUTIVE SUMMARY

The purpose of this analysis is to evaluate and help management properly understand revenue, profitability, customer behaviour, product performance, regional performance, sales channels and returns within the business. To achieve this result set, key business metrics were created through pivot tables, pivot charts, and an interactive dashboard.

The analysis uses a simulated retail dataset contained in four different tables, retrieved from SQL Server to Microsoft Excel. The four tables contain 10,000 Orders, 1000 Customers, 100 Products, and 1006 recorded Returns.

Because of the established relationship that exists between the four tables, before creating key components to help visualise business performance on Microsoft Excel, a XLOOKUP function was used to combine columns from other tables and put together in a single table in the Orders table (known as the main table). This not only helps with visualisation tools but also important for ensuring each order has accurate IDs from each table for accurate calculations to determine revenue, discounted revenue, and total profit.

The analysis found that Electronics are the revenue drivers in the company, and while it also contributes the largest share of product revenue, the Stationery category is the second most highest quantity product sold but has the least revenue return. Corporate is the strongest performing customer segment, and the return rate was calculated to be 10.06%.

Based on these findings, the business should focus on maintaining stock availability for electronic products, and note that the most selling quantity of products is not equivalent to the highest revenue generated. Based on the return rate, an investigation may be necessary to determine whether the reason for returns are concentrated among specific products, categories, or sales channels.

FINDINGS

Revenue and Profitability

- The company generated over R190 million in revenue, with the discounted revenue amounting to R172 million.
- Bringing the total profit of the company to R56 million.

Product Performance

- Electronics contributed the highest revenue of almost R100 million.
- The furniture category has the second highest revenue at R48 million, but has the least recorded quantities sold at less than 20,000 units.
- Stationery sells a relatively high number of units more than 20,000, but generates substantially less revenue Furniture.

Geographical Performance

City Level

- Johannesburg generated the highest revenue among individual cities with over R2 million.

Provincial Level

- Eastern Cape generated the highest combined revenue among provinces, with total sales valued at over R14 million.

Sales Channels

- Corporate generated approximately R72.9 million, representing about 38% of total revenue. Making Corporate the strongest revenue generating sales channel.

Monthly trend

- Revenue managed to peak in July at over R16,5 million, and the month with the lowest revenue generated was in February.
- Revenue remained above approximately R15 million across several months, with July recording the highest monthly revenue generated.

Returns

- The overall order return rate was 10.06%, meaning approximately 10 out of every 100 orders resulted in a return record.
- This represents an area for further investigation, particularly to determine whether returns are concentrated among specific products, categories, or sales channels.

RECOMMENDATIONS

Revenue

- The company may wish to review whether discounts are generating sufficient additional sales to justify the reduction in revenue and profit margins.

Category Performance

- The company may want to prioritise electronic inventory availability, minimise stock-outs, and identify the highest performing electronics products.

Province

- Management may want to investigate factors that drive Eastern Cape's high performance, which could be that they have more customers, different order volumes, or different sales channels.

Sales Channel

- Ensure corporate sales channel are maintained regularly to maintain high revenue streams in the company.

Monthly trend

- Investigate reasons for fluctuation in between months to determine whether it's seasonal or has something to do with the supply of products.

Returns

- Management may want to analyse returns by product, category, and sales channels to identify whether or not returns are concentrated on internal business operations.
- Identifying the causes of returns could help reduce avoidable returns and associated costs.

CONCLUSION

The analysis provides an overview of the company's sales performance, customer behaviour, product performance, and returns. The findings highlight areas of strong performance as well as opportunities for further investigation to help the company reduce associated costs and maximise profitability.

The combination of SQL analysis and Excel visualisation demonstrates how transactional data can be transformed into actionable business insights